

Fearnleys Dry Bulk Weekly

Mar 5, 2025

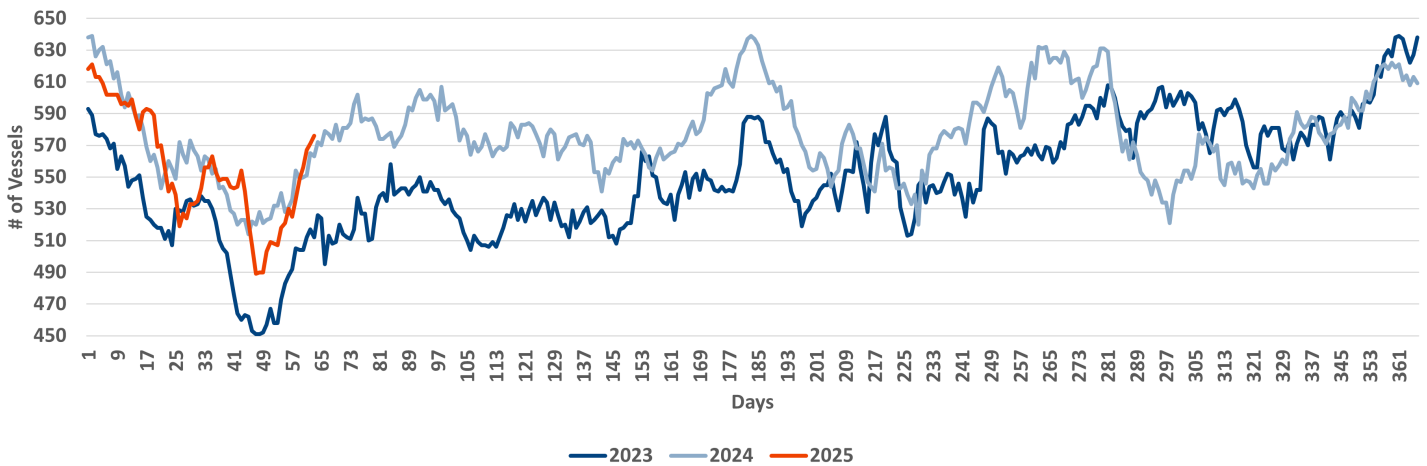
Bernhard Baardson

Capesize/Newcastlemax

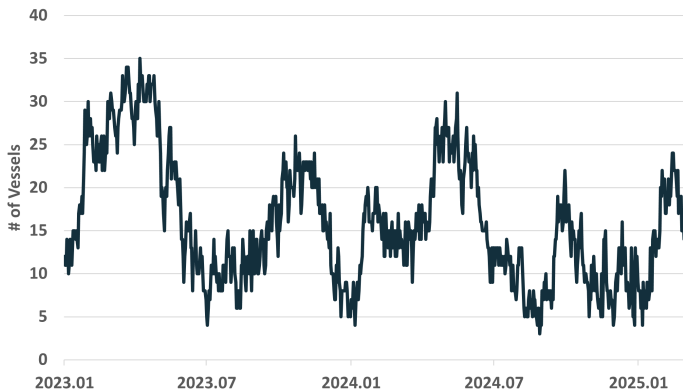
Bullish factors like the iron ore price, VLOC movements, and positive year-on-year growth in China's iron ore consumption suggest relatively firm levels going forward in the next weeks.

However, fundamentals are weighed down by iron ore inventories in China, weak manufacturing growth in developed economies, and weak coal markets. Some Capesize cargoes have been split into Panamaxes as a result of the widening spread.

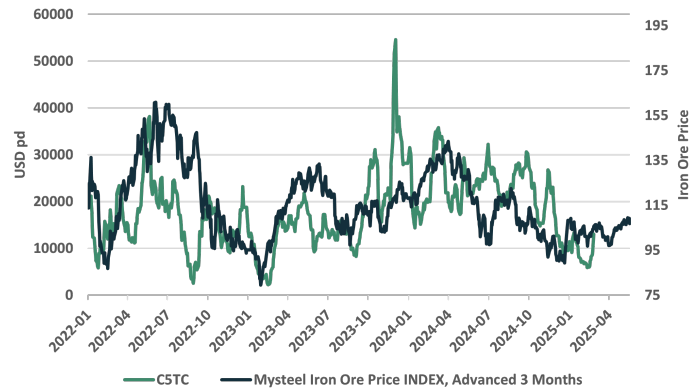
Laden Capesize/Newcastlemax, by Year



VLOCs Waiting to Load in Brazil



Iron Ore Price, 3 Months Lead vs BCI5TC

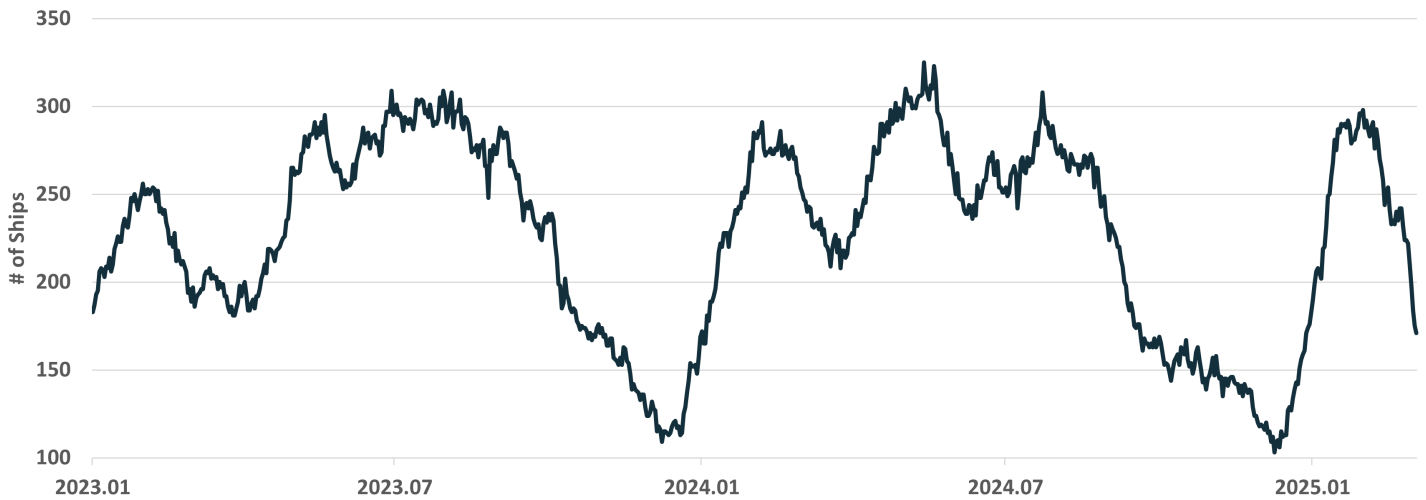


Panamax/Kamsarmax

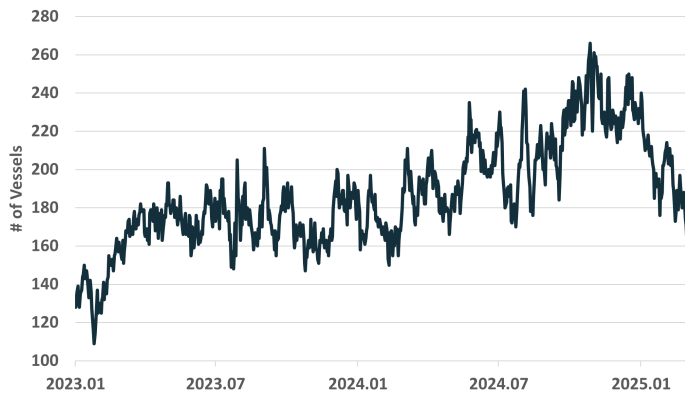
Last week, we wrote the following: *Average seasonality suggests the 5TC index could be on the way to around 13kpd by mid-March. As pointed to in this report the last weeks, fundamentals have been weighed down by weaker Pac coal markets (China and India imports negative yoy), a weak North Atlantic, and delays to the Brazilian Soybean harvest. So, it could be a bumpy road toward a seasonal spring peak in March. Also, reaching the same levels as last year is unlikely.*

The market is weak in both the Atlantic and the Pacific, so the seasonal correlation suggesting a 13kpd index peak in mid-March seems unlikely. The Soybean harvest delay in Brazil is the factor that could cause a rebound, as coal markets in the Pacific seem to be weighed down by too many factors to expect much positive going forward.

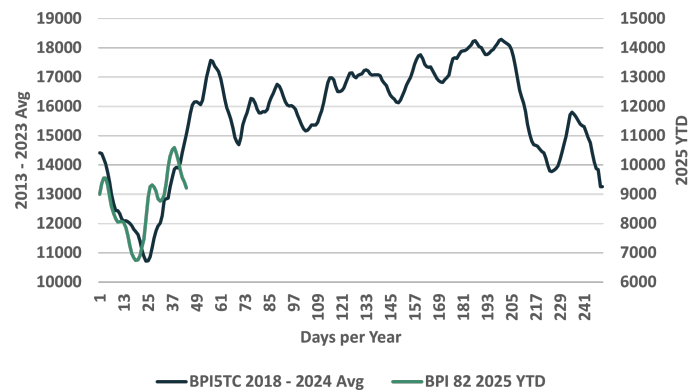
Panamax / Kamsarmax Ballasting to Brazil or Argentina



Panamax / Kamsarmax Laden With Coal to China or India



Kamsarmax Market Seasonality



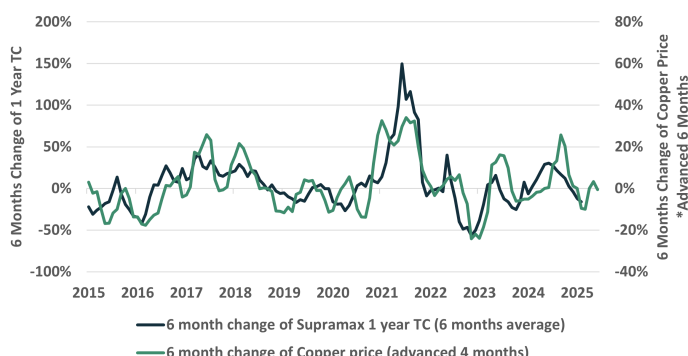
Supramax/Ultramax

Last week, we wrote the following:

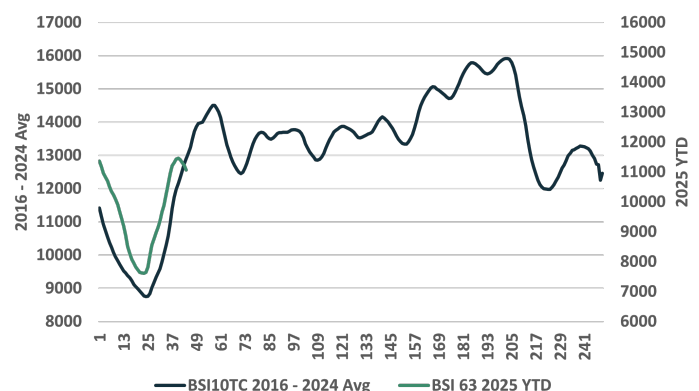
The curve did indeed take a breather. Until the middle of March, when the seasonal spring peak usually occurs, there is likely to be a choppy sideways movement of the FFA curve.

Seasonal correlations suggest the Ultramax index will reach around 13kpd this month. As of now, it seems like that could be difficult. We do not see many positives on the demand side that could cause a sustainable push.

Copper Price Lead vs Supramax 1 Year TC 6 Months Change

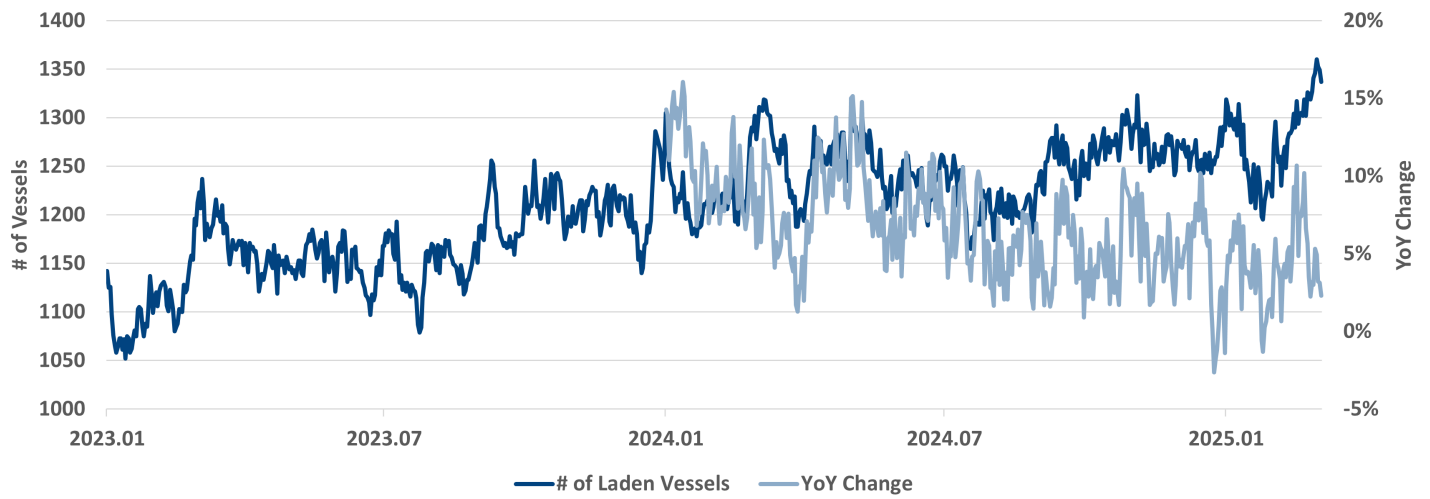


Supramax / Ultramax Market Seasonality





Laden Supramax/Ultramax Vessels, and Year on Year Change





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